

D251

Advanced Auditing

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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Items

1.

Planning the audit of a software company with 600 employees that sells multi-year licenses, the engagement team discusses fraud risk. Its CFO has been with the company since its founding. Under auditing standards, what should the team presume?

- A. A fraud risk in revenue recognition, unless rebutted with documented reasons.
- B. Low fraud risk, given the CFO's long tenure.
- C. A fraud risk in inventory valuation.
- D. No revenue fraud risk, because software revenue never involves judgment.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2.

Testing whether purchase invoices at a regional hospital system were approved, an auditor sets a tolerable deviation rate of 6%. A sample of 100 invoices finds 2 deviations, and the table gives a computed upper deviation rate of 6.2%. The hospital system recently added a cardiac wing. What should the auditor conclude?

- A. The control cannot be relied on as planned; raise assessed control risk and expand substantive work.
- B. Conclude that invoices are misstated by 6.2%.
- C. Expand testing to the new cardiac wing only.
- D. Rely on the control, since the 2% sample rate is below 6%.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3. [TRANSFER — reversed stem / different variable]

In an attributes sample, the sample deviation rate is 1% and the allowance for sampling risk is 3.5%. The tolerable deviation rate is 5%. What is the upper deviation rate, and what is the conclusion?

- A. 4.5%; reliance is not supported because any deviation means the control failed.
- B. 2.5%; reliance is supported.
- C. 3.5%; reliance is supported.
- D. 4.5%; reliance is supported because it is below 5%.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4.

An auditor uses monetary unit sampling on \$2,000,000 of accounts receivable at a building-supply distributor with 3,000 customers. The sample size is 80. The client's collections manager recently retired. What is the sampling interval?

- A. \$25,000
- B. \$160,000,000
- C. 37.5
- D. \$666.67

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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5. [TRANSFER — reversed stem / different variable]

In a monetary unit sample with a \$25,000 sampling interval, an account recorded at \$5,000 has an audited value of \$4,000. What is the projected misstatement for this item?

- A. \$6,250
- B. \$1,000
- C. \$5,000
- D. \$20,000

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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6.

An auditor runs a data analytic on all 250,000 vendor payments made by a food distributor with 40 trucks and finds 37 pairs with the same vendor, invoice number, and amount. The distributor switched banks in June. What is the right next step?

- A. Focus on testing the bank switch.
- B. Investigate the 37 pairs with inquiry and documents to find actual duplicates and assess the control failure.
- C. Project the 37 pairs to the population as a sampling error.
- D. Conclude no further work is needed, since the whole population was tested.

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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7.

At a manufacturer with a December 31 year-end, the auditor examines cash disbursements made in January and February and the related vendor invoices. The company's plant runs three shifts. Which assertion for accounts payable does this mainly test?

- A. Sales cutoff.
- B. Valuation.
- C. Existence.
- D. Completeness.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8. [TRANSFER — reversed stem / different variable]

For accounts payable, which misstatement direction is usually the greater audit risk, and what population should the auditor sample from?

- A. Both directions carry equal risk, so either population works.
- B. Overstatement; sample from the recorded payables list.
- C. Understatement; sample from subsequent payments or vendor statements.
- D. Understatement; sample from the recorded payables list.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9.

At a retailer with 50 stores, accounts payable pays each vendor invoice after matching it only to the purchase order. The AP clerk has a strong accuracy record. What risk is left uncovered?

- A. Paying a price different from the agreed price.
- B. Paying for goods that were never received or were short-shipped.
- C. Paying for purchases that were never authorized.
- D. No risk, given the clerk's accuracy.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10.

The auditor of a regional grocery chain with 45 stores completes the audit, and the audit report is dated March 10. The CEO is traveling to a trade show that week. As of what date should the management representation letter be dated?

- A.** The date the statements are delivered to the bank.
- B.** The date the CEO returns from the trade show.
- C.** March 10, the date of the auditor's report.
- D.** December 31, the balance sheet date.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

The auditor of a small airline with 12 aircraft concludes there is substantial doubt about its ability to continue as a going concern. Management has adequately disclosed the situation in the notes. The airline recently launched a new logo. What report should be issued?

- A.** An adverse opinion.
- B.** An unmodified opinion with a separate going-concern section.
- C.** A qualified opinion.
- D.** A disclaimer of opinion.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12. [TRANSFER — reversed stem / different variable]

Substantial doubt about going concern exists, but management refuses to disclose it in the notes. What is the likely opinion?

- A.** An unmodified opinion, since going-concern disclosure is optional.
- B.** An unmodified opinion with a going-concern section.
- C.** A disclaimer of opinion.
- D.** A qualified or adverse opinion, because the missing disclosure is a material misstatement.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer A Concept 1

Planning the audit of a software company ~~with 600 employees~~ that sells multi-year licenses, the engagement team discusses fraud risk. ~~Its CFO has been with the company since its founding.~~ Under auditing standards, what should the team presume?

Target word: presumed fraud risk **Decides:** Revenue recognition fraud risk is presumed.

A	Correct	The standards presume this risk for every audit.
B	Camouflage	Tenure does not lower the presumed risk.
C	Adjacent category	A possible risk, but not the one the standards presume.
D	Absolute language	Multi-year licenses involve heavy revenue judgment.

2. Answer A Concept 2

Testing whether purchase invoices at a regional hospital system were approved, an auditor sets a tolerable deviation rate of 6%. A sample of 100 invoices finds 2 deviations, and the table gives a computed upper deviation rate of 6.2%. ~~The hospital system recently added a cardiac wing.~~ What should the auditor conclude?

Target word: rely or not **Decides:** Upper deviation rate 6.2% exceeds tolerable 6%.

A	Correct	The upper rate exceeds the tolerable rate.
B	Adjacent category	A control deviation rate is not a dollar misstatement rate.
C	Camouflage	The new wing does not decide the conclusion.
D	Dropped element	Ignores the allowance for sampling risk.

3. Answer D Concept 2 · transfer

In an attributes sample, the sample deviation rate is 1% and the allowance for sampling risk is 3.5%. The tolerable deviation rate is 5%. What is the upper deviation rate, and what is the conclusion?

Target word: compute upper rate and decide **Decides:** Upper rate = sample rate + allowance.

A	Absolute language	Some deviations are expected; the test is upper vs. tolerable.
B	Inverted operation	Subtracts the allowance instead of adding it.
C	Dropped element	Leaves out the sample deviation rate.
D	Correct	$1\% + 3.5\% = 4.5\% < 5\%$.

4. Answer A Concept 3

An auditor uses monetary unit sampling on \$2,000,000 of accounts receivable at a building-supply distributor ~~with 3,000 customers.~~ The sample size is 80. ~~The client's collections manager recently retired.~~ What is the sampling interval?

Target word: sampling interval **Decides:** Book value / sample size.

A	Correct	$\$2,000,000 / 80 = \$25,000$.
B	Inverted operation	Multiplies instead of divides.
C	Wrong stem number	$3,000 / 80$ uses the customer count.
D	Confusion set	$\$2,000,000 / 3,000$ is the average balance per customer.

5. Answer C Concept 3 • transfer

In a monetary unit sample with a \$25,000 sampling interval, an account recorded at \$5,000 has an audited value of \$4,000. What is the projected misstatement for this item?

Target word: projected misstatement **Decides:** Tainting = $\$1,000 / \$5,000 = 20\%$.

A	Wrong stem number	Divides by the audited value ($\$1,000 / \$4,000$) instead of the recorded value.
B	Dropped element	The actual misstatement, not projected to the interval.
C	Correct	$20\% \times \$25,000 = \$5,000$.
D	Inverted operation	Uses the 80% audited-to-recorded ratio instead of the 20% tainting.

6. Answer B Concept 4

An auditor runs a data analytic on all 250,000 vendor payments made by a food distributor with 40 trucks and finds 37 pairs with the same vendor, invoice number, and amount. ~~The distributor switched banks in June.~~ What is the right next step?

Target word: next step after exceptions **Decides:** Flags must be investigated before concluding.

A	Camouflage	The bank change does not explain matching invoices.
B	Correct	Analytics identify exceptions; evidence resolves them.
C	Adjacent category	There is nothing to project; the full population was examined.
D	Absolute language	Testing everything still produces exceptions that need follow-up.

7. Answer D Concept 5

At a manufacturer with a December 31 year-end, the auditor examines cash disbursements made in January and February and the related vendor invoices. ~~The company's plant runs three shifts.~~ Which assertion for accounts payable does this mainly test?

Target word: assertion **Decides:** Testing starts from later payments, outside the recorded list.

A	Confusion set	A revenue-cycle assertion.
B	Adjacent category	Not the main aim of a search for unrecorded liabilities.
C	Inverted operation	Existence would start from the recorded payables.
D	Correct	Finds year-end liabilities that were never recorded.

8. Answer C Concept 5 • transfer

For accounts payable, which misstatement direction is usually the greater audit risk, and what population should the auditor sample from?

Target word: direction of risk and population **Decides:** Liabilities are more likely left off than inflated.

A	Confusion set	Liability risks are not symmetric; management pressure favors understatement.
B	Inverted operation	Reverses the main risk for liabilities.
C	Correct	Unrecorded items can only be found outside the recorded list.
D	Dropped element	Right risk, but unrecorded items are not on that list.

9. Answer B Concept 6

At a retailer ~~with 50 stores~~, accounts payable pays each vendor invoice after matching it only to the purchase order. ~~The AP clerk has a strong accuracy record.~~ What risk is left uncovered?

Target word: uncovered risk **Decides:** The receiving report is missing from the match.

A	Confusion set	Price is checked against the purchase order.
B	Correct	Only the receiving report proves delivery.
C	Adjacent category	The purchase order already shows authorization.
D	Camouflage	Personal accuracy does not replace the missing document.

10. Answer C Concept 7

The auditor of a regional grocery chain ~~with 45 stores~~ completes the audit, and the audit report is dated March 10. ~~The CEO is traveling to a trade show that week.~~ As of what date should the management representation letter be dated?

Target word: rep letter date **Decides:** It must match the report date.

A	Confusion set	Issuance to users is not the anchor; the report date is.
B	Camouflage	Travel plans do not set the date.
C	Correct	Representations must cover through the report date.
D	Adjacent category	Would leave the subsequent-events period uncovered.

11. Answer B Concept 8

The auditor of a small airline ~~with 12 aircraft~~ concludes there is substantial doubt about its ability to continue as a going concern. Management has adequately disclosed the situation in the notes. ~~The airline recently launched a new logo.~~ What report should be issued?

Target word: report type **Decides:** Substantial doubt with adequate disclosure.

A	Adjacent category	Adverse is for pervasive misstatement; the disclosure is adequate.
B	Correct	The statements are fairly presented; the section highlights the doubt.
C	Confusion set	Nothing is misstated or unsupported.
D	Dropped element	Evidence was obtained; doubt alone is not a scope limitation.

12. Answer D Concept 8 • transfer

Substantial doubt about going concern exists, but management refuses to disclose it in the notes. What is the likely opinion?

Target word: reverse: inadequate disclosure **Decides:** Missing required disclosure is a misstatement.

A	Absolute language	Disclosure of substantial doubt is required.
B	Inverted operation	That is for adequate disclosure.
C	Confusion set	Disclaimers are for lack of evidence, not refusal to disclose.
D	Correct	The severity depends on pervasiveness.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	5	
Wrong stem number	A figure copied from the prompt that is not the answer.	2	
Adjacent category	The right idea in the wrong bucket.	7	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	6	
Absolute language	Always, never, guarantee — where judgment applies.	4	
Confusion set	Every option is real; the test is exact role-matching.	7	
Camouflage	Answers a stem fact that was never the question.	5	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Presumed fraud risks	Auditors presume a fraud risk in revenue recognition (rebuttable only with documented reasons) and always treat management override of controls as a risk.	Lowering fraud risk because management seems experienced or trustworthy.	Planning discussion about fraud and revenue.
2	Attributes sampling decision	Compare the computed upper deviation rate (sample rate + allowance for sampling risk) to the tolerable deviation rate; if the upper rate exceeds tolerable, do not rely on the control as planned.	Comparing the sample rate alone to the tolerable rate.	A sample deviation rate, an upper rate, and a tolerable rate.
3	Monetary unit sampling	Sampling interval = population book value / sample size; for an item smaller than the interval, projected misstatement = tainting % × interval.	Using the number of accounts, or failing to project the misstatement.	Recorded dollars, sample size, and one misstated item.
4	Data analytics follow-up	Full-population analytics flag exceptions; the auditor must still investigate them to find actual misstatements and control failures.	Treating flags as proven errors, or treating a full-population test as needing no follow-up.	An analytic run on all transactions returns a list of exceptions.
5	Completeness of payables	The main risk for accounts payable is understatement, so test completeness from outside the recorded list (subsequent payments, vendor statements, receiving reports).	Sampling from the recorded payables list to find unrecorded liabilities.	Payments after year-end traced back to year-end liabilities.
6	Three-way match	Matching purchase order (authorized), receiving report (received), and vendor invoice (billed) before payment prevents paying for unordered or unreceived goods.	Thinking a two-way match to the PO proves receipt.	One document missing from the match.
7	Management representation letter	The representation letter is dated as of the auditor's report date and covers all periods in the report.	Dating it at the balance sheet date or when convenient for management.	Report date and a rep-letter date question.
8	Going concern reporting	Substantial doubt with adequate disclosure gets an unmodified opinion with a going-concern section; inadequate disclosure is a misstatement leading to a qualified or adverse opinion.	Issuing a disclaimer or adverse opinion just because doubt exists.	Substantial doubt plus the state of the disclosure.

Course scope (public description): Advanced Auditing reviews basic auditing concepts, including (1) planning the audit: identifying, assessing, and responding to the risk of material misstatement; (2) specialized audit tools:

attributes sampling, monetary unit sampling, and data analytic tools; (3) completing a quality audit; and (4) reporting on financial statement audits. The second part of the course dives into an application of auditing through (1) understanding how to audit an acquisition and payment cycle and (2) applying the knowledge learned through the acquisition and payment cycle to the revenue cycle in a performance assessment.